

What the Data Is Telling Us to Do

After cleaning the data, running a full exploratory analysis, segmenting customers with RFM, and investigating the five core business problems, we now have enough evidence to make clear, specific recommendations. This report does not deal in vague suggestions — every recommendation below is tied directly to a data finding.

1 — What the Company Should Stop Doing Right Now

Some current practices are actively costing the business money. These are not areas for gradual improvement — they need to stop.

STOP	Offering discounts above 20%. The data is clear: medium-level discounts (21–50%) produce an average loss of 56 per order, and high-level discounts (51–85%) lose nearly 100 per order. These are not edge cases — they are the average across thousands of transactions.
STOP	Running blanket discount campaigns. Discounts should only go out after checking whether the specific product and customer combination can absorb them while remaining profitable.
STOP	Selling Tables at current pricing. This sub-category is running at a –8.47% profit margin and has generated a total loss of 64,083. Every table sold makes the business poorer, not richer.
STOP	Treating Southeast Asia and EMEA as normal regions. At 2.02% and 5.45% margins respectively, both are one bad quarter away from becoming net losses. They need intervention, not monitoring.
STOP	Granting discount privileges to loss-generating accounts. 23 customers currently produce negative profit despite above-average order volumes. These arrangements are not relationships — they are subsidies.

2 — Products and Categories Worth Promoting

While some parts of the catalogue need attention, others are performing well and deserve more investment. The sub-categories below all have profit margins above 15% — they should be the focal point of any marketing or sales push.

Sub-Category	Profit Margin	How to Grow It
Paper	24.23%	Feature prominently in campaigns; bundle with printer purchases

Labels	20.44%	Cross-sell automatically on Office Supplies orders
Envelopes	17.32%	Package into B2B stationery kits
Accessories	17.30%	Bundle with Technology products at point of sale
Copiers	17.13%	Primary focus for corporate and B2B sales conversations
Binders	15.68%	Bundle with Paper for complete stationery offers
Art	15.57%	Target Consumer and Home Office customer segments

What this tells us	Technology (13.99%) and Office Supplies (13.69%) are the two most balanced categories — strong sales and healthy margins. Furniture's 6.98% margin needs to shift away from Tables and toward the higher-margin lines like Accessories and Furnishings.
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What we recommend	Reallocate 30% of Furniture's marketing budget to Paper, Labels, and Copiers. Set quarterly revenue and margin targets for each promoted sub-category and review monthly.
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3 — What Each Region Needs

Not all regions are in the same situation. The right strategy for Canada is very different from the right strategy for Southeast Asia. Here is what each group of regions actually needs:

URGENT	Southeast Asia (2.02% margin) — Run an immediate audit of discount approval rates and logistics costs. Until margins recover to at least 10%, all discounts above 10% should require management sign-off. This is not a monitoring situation.
URGENT	EMEA (5.45% margin) — Review supplier contracts and the operational cost structure. Identify which specific sub-categories are dragging down the regional margin and address those first.
IMPROVE	South (8.77% margin) — The margin is low but recoverable. Shifting the product mix away from Tables and Machines toward higher-margin lines should move this region into healthy territory within a few quarters.
IMPROVE	Caribbean and Central (10–11% margin) — Apply the standard 20% discount cap strictly and push Office Supplies cross-selling to existing customers to improve basket margins.
EXPAND	Canada (26.62%) and North Asia (19.52%) — These two regions have cracked the margin code. Their pricing discipline, product mix, and discount practices should be documented and used as the template for underperforming regions.

What we recommend	Introduce region-specific discount caps immediately. Southeast Asia and EMEA should be capped at 10% until margins recover. Canada's approach — whatever is driving that 26.6% margin — should be formally studied and replicated elsewhere.
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4 — How to Approach Each Customer Segment

RFM analysis split the customer base into four distinct groups, each requiring a completely different approach. Treating them all the same wastes both budget and relationships.

Segment	Size	Who They Are	The Right Approach
High-Value	189	Recent, frequent, high spend	Loyalty programmes and early access to new products. Do not offer them heavy discounts — they are buying anyway. Give them service, not price cuts.
Regular	339	Consistent buyers, moderate spend	Cross-sell and upsell campaigns work well here. Bundle deals and controlled loyalty discounts (10–15%) can move these customers toward the High-Value tier.
At-Risk	175	Previously active, now going quiet	Win-back campaigns with personalised offers. Find out why they stopped — a short survey or outreach call can reveal fixable problems.
Low-Engagement	92	Infrequent, low-value orders	Keep spend minimal. A low-cost email is fine. Do not invest heavily in this group until they show signs of moving up.

What this tells us	The 189 High-Value customers almost certainly generate a disproportionate share of total profit. Losing 10% of that segment would hurt far more than losing 50% of the Low-Engagement group. Retention of the top tier is the single highest-return activity the business can invest in.
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What we recommend	Build a structured retention programme specifically for the 189 High-Value accounts. Do not automate them into the same email flows as everyone else. They deserve personalised attention — account managers, exclusive updates, priority service.
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5 — Fixing the Discount Policy

The current approach to discounting has no structure. Sales reps can apply discounts of up to 85% without any systematic check on whether the resulting order is profitable. That has to change. Here is a concrete framework to replace it:

Scope	Current Situation	New Rule	Why It Matters
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Technology	Up to 85% — no cap	Maximum 15%	Already running at 14% margin — one bad discount kills it
Office Supplies	Up to 85% — no cap	Maximum 15%	Good margins that are worth protecting
Furniture	Up to 85% — no cap	Maximum 10%	7% overall margin — no room to absorb discounts
Tables specifically	Up to 85% — no cap	Zero — no discount permitted	Already loss-making — any discount makes it worse
Any discount >20%	No approval required	Manager sign-off required	Creates accountability and a paper trail
Per customer	Ad hoc, case by case	Min 5% profit margin enforced	Eliminates the 23 loss-generating accounts problem

What we recommend	These caps should be built into the ordering system as hard limits, not guidelines. If a sales rep cannot place a discounted order without manager approval, the policy enforces itself. This single change could eliminate the majority of loss-making orders in the dataset.
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6 — How to Improve Profitability Going Forward

Plan Around the Seasons

Monthly profit data shows a predictable pattern. The business earns most of its money between September and December. That is not a coincidence — it is an opportunity to plan around.

Period	Months	Profit Generated	What to Do
Peak Season	Sep – Dec	673,875	Pre-stock Paper, Copiers, and Accessories. Hold discounts back — demand is already high.
Mid Season	May – Aug	481,513	Push targeted campaigns on Hidden Gem products. This is the right time for controlled promotional activity.
Low Season	Jan – Apr	313,647	Shift focus to low-cost, high-margin products like Paper and Labels. Avoid discounting to chase volume — it does not pay off.

Cut Unnecessary Costs

ACTION	Renegotiate Furniture supplier contracts. A 6.98% category margin almost certainly reflects costs that are too high for the selling prices. Even a 2% reduction in supplier cost would double the category's effective margin.
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ACTION	Fix the shipping mode problem. Low-value orders should not be going out via First Class or Same Day delivery. Route them through Standard shipping and reserve premium delivery for high-value, time-sensitive orders.
ACTION	Investigate logistics costs in Southeast Asia and EMEA. High shipping and handling costs are likely a major contributor to the near-zero margins in both regions. Get the numbers and address them directly.

Grow Revenue in the Right Places

GROW	Launch a referral programme for High-Value customers. Someone who is already buying regularly and profitably is the best person to recruit similar customers. Give them a reason to do it.
GROW	Invest in Canada and North Asia. These two regions are running at 26.6% and 19.5% margins. They are not at capacity. More volume from these regions directly improves overall profitability.
GROW	Bundle Technology with Office Supplies. A customer buying a printer is a natural buyer of Paper, Labels, and Accessories. Bundling at point of sale increases basket value without discounting anything.
GROW	Market the 522 Hidden Gem products. They are already profitable — they just need people to find them. Homepage placement, email features, and checkout suggestions are all low-cost, high-return options.

All Recommendations at a Glance

Area	Action	The Recommendation
Discounts	STOP	No discounts above 20% — apply category-specific hard caps
Discounts	IMPLEMENT	Manager approval required for any exception, documented
Products	STOP	Discontinue or reprice Tables — it is currently a loss centre
Products	PROMOTE	Paper, Labels, Copiers, Accessories — all above 15% margin
Products	MARKET	522 hidden gems — high margin, underexposed, easy wins
Regions	URGENT FIX	Audit Southeast Asia and EMEA — set 10% discount cap now
Regions	IMPROVE	Shift South and Caribbean product mix toward higher-margin lines
Regions	EXPAND	Grow volume in Canada and North Asia — the model is working
Customers	RETAIN	Structured loyalty programme for 189 High-Value accounts
Customers	RE-ENGAGE	Win-back campaign for 175 At-Risk customers

Customers	RESTRUCTURE	Remove discount privileges from 23 loss-generating accounts
Operations	REDUCE COST	Renegotiate Furniture suppliers; Standard shipping for low-value orders
Revenue	GROW	Bundle Tech + Office Supplies; referral programme for top customers

Conclusion

The profitability problems in this business are not mysterious. The data points to three clear root causes: a discount policy with no guardrails, a product mix that includes at least one actively loss-making sub-category, and a small number of customer accounts that are being served at a net loss.

The good news is that none of these problems require expensive structural changes. Capping discounts at 20% is a policy decision that could be implemented this week. Stopping sales of Tables at negative margin is a pricing decision. Removing discount privileges from 23 accounts is an account management decision. These are not complex interventions.

What Canada and North Asia demonstrate is that disciplined pricing and the right product mix can deliver margins of 19% to 26% at scale. That is the standard the rest of the business should be working toward. The data has shown the path — the next step is execution.